

topped out four months after the assessment quoted above was published. They made a secondary peak in April 1990 and have fallen nearly 60%. High-end art prices spiked to a high in May 1990, from which point the art market fell about the same amount before rebounding a bit in recent months. Baseball card prices topped in January 1992 along with Topps Company stock. With these reversals came reversals in the value of classic cars, photographs, figurines, movie posters, rock 'n' roll records, you name it. Four of these markets were singled out by *The Elliott Wave Theorist* for specific commentary, as detailed in the following sections.

COINS

Perspective

On May 28, 1990, *The Elliott Wave Theorist* presented a detailed technical analysis of the coin market and issued a passionate call for investors to sell. That study (omitting associated stock market commentary) is excerpted below:

Despite the poor price performance of the underlying metals, collector coins have continued to enjoy a huge bull market. The reason collector coins have gone up in the 1980s despite substantially lower bullion prices is that collecting is a by-product of affluence. Collectors and investors can convince themselves that a piece of art, an antique car, a baseball card or a coin is worth ten times more than it was a decade ago because they can afford to. Collector coin prices enjoy *some* benefit from rising bullion prices, but react much more strongly to an ebullient climate for investment as reflected by a rising stock market. Ironically, those who waited for gold to decline in price ended up paying *much* more for their coins. Coins are not *commodities* keeping pace with general prices so much as they are trophies to collectors and "investments" to investors, both of which are bid up based upon amorphous desire in an environment of general affluence. The 1980s have not only been affluent, but have produced a speculative fever in virtually all non-commodity investments, including stocks, bonds, real estate and collectibles. Collector coins have been part of *that* bull market. The reason this analysis is so important now is that coins have recently enjoyed a surge in prices beginning after gold peaked in December 1987 and coinciding with the rising trend of the stock market. The coin market is *way* overbought, and signs of a stock market top are building rapidly. Collector coins, then, have registered or are about to register a major peak in prices.